

ONTARIO

SUPERIOR COURT OF JUSTICE

B E T W E E N:

MARJORY ARLENE CARTNER and
DAVID CARTNER

Plaintiffs

- and -

THE CORPORATION OF THE CITY OF
BURLINGTON, FENG FENG WANG
and YING JIA HUANG

Defendants

)
)
) Robert J. Hooper, for the Plaintiffs
)
)
)

)
) Christine G. Carter, for the City of
) Burlington
)
)

) John Lee, Agent for Feng Feng Wang
) and Ying Jia Huang
)

COSTS ORDER

M.G.J. QUIGLEY J.

[1] Following a three-week trial in October and early November of 2007, I awarded judgment in this matter in favour of the Plaintiffs against both the individual defendants, Feng Feng Wang and Ying Jai Huang, and against The Corporation of the City of Burlington. The damages sustained by the Plaintiffs arose out of a slip and fall accident that took place on November 8, 2002 in Burlington, Ontario. The accident occurred on a sidewalk owned by the City of Burlington, but as is indicated in my lengthy Reasons for Judgment dated July 29, 2008, I concluded that liability must result both to the City of

Burlington as a result of its failure to maintain its sidewalk in a reasonable state of repair as required by the *Municipal Act*, and as against the individual defendants as a result of their negligence in allowing concrete slurry to flow off of their property and pool on the sidewalk owned by the City. I concluded in my Reasons for Judgment that the Defendants were jointly and severely liable with the City liable as to 20 per cent, and the individual defendants jointly and severally liable as between themselves as to 80 per cent.

[2] This Judgment resulted in a total award in the amount of \$388,089.53 to the Plaintiffs, Marjorie Cartner and David Cartner, including pre-judgment interest calculated to July 29, 2008. This total consisted of general damages of \$120,000, damages for David Cartner's family law claim of \$20,000, past and future OHIP claims totalling \$19,064.01, past and future wage losses totalling \$171,000, and aggregate pre-judgment interest of \$58,028.52. This amount was agreed to at the costs submissions hearing before me by all three counsel. As well, all counsel agreed that the applicable rate of interest following July 29, 2008 is 5 per cent as stipulated in s. 127 of the *Courts of Justice Act*. In addition, counsel for both Defendants agree and have no dispute with the disbursements claimed by the Plaintiff totalling \$24,192.44.

[3] As indicated in the Bill of Costs he filed dated December 8, 2008, counsel for the Plaintiff claims aggregate costs, including the \$24,192.44 amount of disbursements, totalling \$458,351.69. The breakdown of this amount is set out in his Bill of Costs. For preparation of pleadings, documents and Affidavits of Documents, discovery, the latter item including time spent by Mr. Hooper's predecessor at a mediation held in the fall of 2006, the Plaintiff claims a total of \$15,050. No dispute is taken as to this amount by the two counsel for the Defendants, although Mr. Lee notes that 30 hours claimed by Mr. Gardiner (Mr. Hooper's predecessor) in respect of discoveries, actually included time relating to the mediation as well.

[4] The Plaintiff made two offers to the Defendants, the first on February 20, 2006 under Rule 49 for \$325,000, the second offer on April 4, 2006, also under Rule 49, for \$200,000 exclusive of costs. Because of the complexity of trying to determine success of the parties relative to the initial Rule 49 offer, counsel for the Plaintiffs was agreeable and stated that he intended to rely only upon the April 4, 2006 offer made under Rule 49 in the sum of \$200,000 for all claims, exclusive of interest, as the foundation for his claim of substantial indemnity costs with respect to part of his total Bill of Costs.

[5] For trial preparation up to April 4, 2006, the Plaintiff claims \$16,000 for a total of 65 hours. Mr. Hooper, who was called to the Bar in 1993, claims a partial indemnity rate of \$350 per hour and a substantial indemnity hourly rate of \$400 per hour. For his junior, Ms. Buffett, who was called in 2004, the very significant hourly rate of \$275 per hour was claimed. Mr. Hooper conceded in reply at the end of the costs submission hearing that a more appropriate partial indemnity hourly rate applicable to him would be \$250 per hour, with his substantial indemnity rate being, in his view, \$375 per hour, and he concedes that Ms. Buffett's partial indemnity rate should be \$150 per hour and suggests her substantial indemnity rate should be \$200 per hour.

[6] On this basis, using a partial indemnity scale, I am prepared to allow \$13,000 of fee for the trial preparation up to April 4, 2006, including time relative to Mr. Gardiner, the predecessor on the file, and also Ms. Donkin, Mr. Hooper's law clerk. The total amount of time representative of this amount of fee is 65 hours.

[7] The controversial amounts of fee claimed by Mr. Hooper are the substantial indemnity amounts claimed for the trial preparation period from April 4, 2006 to October 15, 2007, trial preparation during the trial from October 16, 2007 to November 6, 2007, and trial attendance from October 16, 2007, to November 6, 2007. On the basis of the Plaintiff having succeeded in a total judgment in excess of its Rule 49 offer of \$200,000, made on April 4, 2006, it seems clear that the Plaintiff is entitled to substantial indemnity

costs both for the trial preparation period from April 4, 2006 up to the commencement of the trial, and through the actual trial period itself. The controversial subject here, however, is the total number of hours of preparation claimed by Plaintiffs' counsel. Mr. Hooper claims to have put in 350 hours of time at a substantial indemnity rate of \$400 per hour for total costs claimed for pre-trial preparation of \$140,000. Ms. Buffett allegedly put in 263 hours of time at \$275 an hour for a total claim of \$72,325 for her time, and Ms. Donkin put in 22 hours as a law clerk working on the file, at \$80 per hour, for a total of \$1,760. In addition, however, for actual trial preparation during the trial itself, beyond the counsel fee claimed by both Mr. Hooper and Ms. Buffett for their attendance at trial, each of them claims a further 130 hours at their respective substantial indemnity rates. Mr. Hooper claims a counsel fee of \$4,000 per day for attending at trial, for 13 days, for a total of \$52,000. Ms. Buffett claims a counsel fee of \$2,153 per day, for 13 days, for a total of \$28,600.

[8] On top of this, however, is the trial preparation claim for the same period as the trial, totalling an additional 260 hours (130 hours for each of Mr. Hooper and Ms. Buffett) for a total of \$87,750. Mr. Hooper explained that the time was largely spent on weekends, rather than on week nights, while the trial was proceeding, but I must comment that in the context of a case where the total award of damages, including prejudgment interest, is \$388,089.53, it is shocking to me that solicitor for the Plaintiffs claims to have spent 700 hours in trial preparation, apart from the trial itself, for total fees claimed of \$332,885, including all pre-trial preparation. When this amount is increased by the \$80,600 claimed by Plaintiffs' solicitor for attendance at the trial, the total fees claimed by the Plaintiffs, excluding taxes and disbursements, reaches the astronomical sum of \$413,485, when the total judgment amount, including pre-judgment interest, is almost \$25,500 less than that amount of claim for fees. It is not surprising against this background, that both counsel for the City of Burlington and counsel for Mr. Wang and

Ms. Huang claimed that the costs claimed by the Plaintiff are excessive and totally out of proportion with the amount of the judgment realized.

[9] Ms. Carter addressed a number of issues on behalf of the City of Burlington. First, she notes that it was always the intention of the City of Burlington, if at all possible, to settle this matter and avoid a trial. The City first made an Offer to Contribute in the amount of \$40,000 in an Offer to Contribute dated February 17th, 2006. As the trial date approached, in fact in the week preceding trial, the City of Burlington increased its Offer to Contribute to an all-inclusive sum of \$60,000, at a time when the Plaintiffs were prepared to settle for \$200,000 excluding costs. That Offer to Contribute was then withdrawn on Friday October 12, 2007, two days before the trial was scheduled to commence. It is evident that the reason the contribution was withdrawn was the total failure of the individual defendants, Mr. Wang and Ms. Huang, to make any offer to settle in writing, and if any offers were made by Mr. Lee as their counsel to try and bring resolution to the matter, it was unknown to me. Mr. Lee did indicate at the costs argument today that he had had verbal discussions on the subject of settlement with counsel for the Plaintiffs, but as noted, the individual defendants were never prepared to admit to liability in writing or make any contribution or offer of contribution towards the claim made by the Cartners.

[10] Regardless of submissions by Mr. Lee, however, I do accept the propositions put forward by Ms. Carter on behalf of her client. First, surprisingly given that I note that she is called to the Bar in the same year as Mr. Hooper, her partial and substantial indemnity hourly rates are \$250 and \$300 per hour respectively, as opposed and compared to Mr. Hooper's claimed partial and substantial indemnity rates of \$350 on a partial indemnity scale, and \$400 per hour on a substantial indemnity scale. Indeed, Mr. Hooper indicated before the Court in making costs submissions today that he has a retainer agreement with the Plaintiffs where they have agreed to pay him the sum of \$600 per hour.

[11] I agree with Ms. Carter that this trial should never have taken place. Had the individual defendants been willing to recognize and accept their responsibility for the slip and fall injury sustained by Mrs. Cartner, and to have contributed to the damages she suffered, rather than allegedly taking steps to not only avoid their liability, but to diminish their asset base and thereby cause themselves to become judgment proof, this trial might never have needed to go forward. On this basis, the solicitor for the City asks that the costs resultant from this trial be allocated exclusively to the Defendants, Wang and Huang, but in my view this is not an option that is effectively open to the Court, having regard to my findings under the *Negligence Act*, and the contribution that each of the two separate tortfeasors made to the damages sustained by Mrs. Cartner.

[12] Nevertheless, it would also be unfair, in my mind, even if the City is required to fund payment of the portion of costs attributable to the individual Defendants, if it were not to be in a position where it could properly and legally claim those amounts back from them. Accordingly, in my view costs must be awarded against the two Defendants on the same basis as the damages, that is, jointly and severally on the basis of 80 per cent liability to the individual Defendants Wang and Huang, and 20 per cent liability to the municipal defendant, the City of Burlington. Further, as is permitted by Rule 49.12(2), it seems to me only fair in these circumstances, given the arguably obstreperous position taken by the individual Defendants, that the City of Burlington should have its costs in respect of its defence of the action against the Plaintiffs as against those individual Defendants.

[13] On the other hand, as counsel for the Plaintiff observes, it was open to the City of Burlington to pay the \$200,000 sought by the Plaintiffs to settle this matter, and to them claim indemnification from the individual Defendants, were they unwilling to come to the table as they seem to have been, in the days preceding the commencement of this trial. Instead, the City of Burlington chose only to make an offer to contribute towards

the overall settlement amount sought by the Plaintiffs at that time of \$200,000 exclusive of costs. Had the City paid the full \$200,000 amount sought by the Plaintiffs in their settlement, and even assuming the same apportionment of liability as I found in my Reasons, it would have been saddled with a total liability for damages in the amount of \$40,000 plus a proportionate share of costs, rather than the larger amount they end up paying as a result of my decision. Accordingly, I find that it would be unfair to saddle the individual Defendants fully with the costs incurred by the Corporation of the City of Burlington in defending against the Plaintiffs' claim. However, I would permit the City to claim indemnification from the individual Defendants for 40 per cent of their costs.

[14] Mr. Lee, who acted as agent for Mr. Wang today, suggested that the City of Burlington should get no credit at all for having made any offer to contribute to the settlement of this action. He said it should not be taken into account in assessing costs. As noted, however, he admitted when the point was raised by counsel for the City that he had, in fact, acted for Mr. Wang on the property transfer transactions which resulted in the sale by Mr. Wang and Ms. Huang of the business property on Guelph Line and their home in the City of Burlington to third parties, transactions which both the Plaintiff and the municipal defendant now seek to have set aside as fraudulent conveyances. It is thus difficult to accept the arguments that he made before the Court that he did not know much about this litigation at the time that he undertook those transactions, which as I understand it, was his lame explanation why he did not see fit to respond in writing to the two Offers to Settle that were issued by the Plaintiff in February and April of 2006.

[15] As far as complexity is concerned, Mr. Lee tried to argue that this matter was quite straightforward, and if it had not been for the City of Burlington, would have simply involved a simple tort claim as between the Plaintiffs and the individual Defendants. This, however, could never have been the scenario. The undisputed fact is that Marjory Cartner slipped and fell on the sidewalk owned by the City of Burlington.

Her injury was caused as a result of two factors, both of which I found in my reasons to be causes of the accident: the state of repair of that sidewalk, and the negligent actions of the individual Defendants in permitting a slippery substance to escape from their property and pool on the City's sidewalk. It was on that slippery concrete slurry substance that Marjory Cartner slipped and fell, sustaining the substantial injuries that she did. Moreover, the action was always commenced by the Plaintiff as against both Defendants, with counterclaims then in existence as between them.

[16] Finally, Mr. Lee has suggested that the junior counsel fees sought both by counsel for the Plaintiffs, and counsel for the City of Burlington, are excessive. In his view, neither of those two junior counsel actually did much in the course of the trial. I would note that both junior counsel examined at least two witnesses and were otherwise available to assist senior counsel with the handling of numerous exhibits and documents, numerous photographs, expert reports, transcripts of prior discoveries, and general trial preparation and presentation. To my mind, this was an appropriate case for junior counsel to be assisting both Mr. Hooper and Ms. Carter. I have, however, taken account of their relative junior status in fixing the amount of costs I am prepared to see awarded in this case, and I have also reduced, to some extent, the hours claimed by the Plaintiff in respect of Ms. Buffett's participation, largely because the aggregate amount of time claimed by the Plaintiffs cannot be regarded as anything but excessive relative to the quantum of the total claim, and the amount of the judgment that was actually awarded.

[17] It is also important to my decision in that regard to note that even though it is inevitable that counsel for the Plaintiff will spend more time and effort preparing its case, its experts, and its various witnesses, than will need to be spent by Defendants, as a typical matter, the fact nevertheless remains that Plaintiffs' counsel has claimed more than 700 hours for trial preparation, as compared to a total of 133 hours claimed by counsel for the defendant City of Burlington, in both cases ignoring attendance at trial.

[18] In the result, the Plaintiffs Marjory Cartner and David Cartner shall have costs on the basis outlined below, on a partial indemnity basis up to April 4, 2006, and on a substantial indemnity basis thereafter. The amount of costs allowed to them takes account of my reduction of the amount of hours claimed by their counsel, and adjusts the partial indemnity and substantial indemnity rates claimed by counsel for the Plaintiffs. For pleadings, documents, affidavits of documents, and costs of discovery (including Mr. Gardiner's attendance at mediation), the Plaintiff is allowed costs of \$15,050.

[19] For trial preparation up to April 4, 2006, Plaintiff's counsel is allowed \$13,000, rather than the \$16,000 claimed. Reduction of \$3,000 is attributable to Mr. Hooper's time being permitted at a partial indemnity rate of only \$250, compared to \$350 per hour.

[20] For Mr. Hooper for the period from April 4, 2006 until the end of trial, I have permitted him to claim costs on the basis of a substantial indemnity billing rate of \$350 per hour. I will permit costs to be paid in respect of Ms. Buffett's involvement in the matter at a substantial indemnity rate of \$175 per hour.

[21] For the period April 4, 2006 up to October 15, 2007, I have reduced the hours attributable to Mr. Hooper from 350 hours to 250 hours, and by Ms. Buffett from 263 hours to 200 hours. As a result, based upon their altered substantial indemnity billing rates as I am prepared to allow them, \$87,500 would be allowable for Mr. Hooper's time, and \$35,000 for Ms. Buffett's time, a combined total of \$122,500, including \$1,760 for Ms. Donkin's time, which I have not adjusted.

[22] For trial preparation undertaken by Plaintiffs' counsel during the course of the trial, I have cut both counsel in half in terms of the amount of hours claimed. It may well be that the amount of time claimed was actually incurred by both counsel, but in the context of a trial like this, where the aggregate damages claimed and awarded is less than the amount of the fees claimed by counsel, it is inevitable that there must be a significant

reduction in the costs required to be paid by the unsuccessful parties. Allowing Mr. Hooper 65 hours at \$350 per hour and Ms. Buffett 65 hours at \$175 per hour yields a total in respect of trial preparation while the trial was ongoing of \$34,125, an amount that I consider to be quite generous. For trial attendance, Mr. Hooper will be permitted to claim \$45,500 based on 13 days at \$3,500 per day, and Ms. Buffett will be permitted to claim \$22,750 on the basis of 13 days at \$1,750 per day.

[23] The total gives rise to fees recoverable by the Plaintiffs' solicitor totalling \$250,175, a reduction of \$163,310 from the amount claimed. Adding onto that G.S.T. at 5 per cent of \$12,508, and the undisputed disbursements totalling \$24,192.44, the total amount due to the Plaintiffs' solicitor in respect of costs by the Defendants, for fees and disbursements and taxes, totals \$246,875.44. While both Defendants shall be jointly and severally liable for the entire amount, from the perspective of payment, as between themselves, the Defendants Wang and Huang are responsible for \$197,500.35 of those costs, and the City of Burlington is responsible for 20 per cent, namely, \$29,375.09.

[24] I accept the Bill of Costs submitted by the City of Burlington in the total of \$113,455.67, inclusive of disbursements and taxes, and as stipulated under Rule 49.12(2)(b), the City of Burlington will be entitled to claim 40 per cent of those costs as against the individual Defendants, totalling \$45,382.26.

[25] Order to go accordingly.

M.G.J. QUIGLEY J.

DATE: December 29, 2008

COURT FILE NO.: 308/03

DATE: 20081229

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SUPERIOR COURT OF JUSTICE

B E T W E E N:

**MARJORY ARLENE CARTNER and
DAVID CARTNER**

Plaintiffs

and –

**THE CORPORATION OF THE CITY OF
BURLINGTON, FENG FENG WANG and
YING JIA HUANG**

Defendants

COSTS ORDER

M.G.J. QUIGLEY J.

Released: December 29, 2008